

26SMCV01433 26SMCV01433

County: los-angeles

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Case Number: 26SMCV01433 Hearing Date: September 18, 2026 Dept: P

Tentative

Ruling

Sharon

Crystal, Inc., et al. v. Sharon Crystal, et al., Case no. 26SMCV01433

Plaintiff's

Motion for Order (1) compelling disclosure of all third-party subpoenas, (2) Quashing Subpoenas issued without required notice, (3) precluding use of records obtained thereby; and (4) Monetary Sanctions

Hearing

Date: September 18, 2026

Motion

for Order Compelling Disclosure of Third-Party Subpoenas

On

September 14, 2026, Plaintiff filed this motion to compel Defendants to disclose to whom they had served third-party subpoenas without proper notice. The Court advanced the motion to the date of the Final Status Conference, and on September 16, 2026, Defendants filed their opposition. Plaintiffs contend that Defendants repeatedly failed to provided notice and consumer notice on subpoenas served in this action. In their opposition, Defendants contend that Plaintiffs had actual notice of the subpoenas and that any notice issues are attributable to Defendants' legal server's failure to provide notice and to Plaintiffs' failure to properly meet and confer regarding these issues.

Discovery

Timeline

At issue

on this motion are ten (10) third-party subpoenas that Defendants served on James Diamond, Phillip Cook, Maria Martinez, Wells Fargo Bank, JP Morgan Chase Bank, Debra Rourke, Duan Wei-Maynez, Arizona Renaissance, Brimstone & Fire, LLC, and Joel Bates.

The

parties submit different information regarding the date of service and status of document production:

Subpoena sent to

Plaintiff's date of service

Defendants' date of service

Date of notice to Plaintiff

Date of Consumer notice, if required

Documents Produced

Jim Diamond

7/6/26

7/6/26

9/16/26

N/A

Yes

Maria Martinez

7/8/26

7/8/26

9/16/26

N/A

No

Phil Cook

7/8/26

7/8/26

9/16/26

N/A

No

Debbie Rourke

8/10/26

8/11/26

9/16/26

N/A

No

Duan Wei-Maynez

8/10/26

8/12/26

9/16/26

none

No

JP Morgan Chase, N.A.

8/7/26

8/14/26

9/16/26

9/16/26

Unclear. Chase notified Plaintiff
in writing that documents were produced, but Defendants state that no
documents have been produced.

Wells Fargo Bank N.A.

8/7/26

8/14/26

9/16/26

9/16/26

No

Arizona Renaissance Limited
Partnership

8/14/26

9/16/26

N/A

Yes

Brimstone & Fire, LLC

8/17/26

9/16/26

N/A

Yes

Joel Bates

9/10/26

No

Legal

Standard

A party

serving a deposition subpoena must give notice of the subpoena to “every other party who has appeared in the action.” (Code Civ. Proc. § 2025.240(a).) If the subpoena requests documents and the deponent is “a witness commanded by a deposition subpoena to produce personal records of a consumer or employment records of an employee, the subpoenaing party shall serve on that consumer or employee all of the following: (1) a notice of the deposition. (2) the notice of privacy rights specified in subdivision (a) of Section 1985.3 or in subdivision (e) of Section 1985.6. (c) a copy of the deposition subpoena.” (Code Civ. Proc. § 2025.240(b).)

Personal documents

requiring consumer notice are records that satisfy two requirements: (1) records containing consumer information; (2) maintained by a “witness” of a specific nature, including state or national banks and accountants. (Code Civ. Proc. § 1985.3(a).)

Code of

Civil Procedure section 1985.3(b)(3) requires a notice be served on the consumer at least five days prior to service of the subpoena on the witness where a subpoena seeks personal records, including records held by state or national banks and accountants. Consumer notice must be served on the consumer or on their attorney of record not less than ten days prior to the date of production. (Id., subd. (b).) Each copy of a subpoena for personal records shall include a notice of consumer rights. Failure to comply with this requirement is sufficient basis for the witness to refuse to produce the personal records sought and to render the subpoena ineffective. (Id., subd. (e).) A limited exception exists that allows the court to provide an order shortening the time for service or waiving the requirements of subdivision (b) if the subpoenaing party shows good cause, due diligence, and the rights of witnesses and consumers are preserved. (Id., subd. (h).)

A party or consumer may bring a motion to quash, modify, or direct compliance with a subpoena “upon those terms or conditions as the court shall declare, including protective orders. In addition, the court may make any other order as may be appropriate to protect the person from unreasonable or oppressive demands, including unreasonable violations of the right of privacy of the person.” (Code Civ. Proc. § 1987.1, subd. (a).)

Failure to comply with any of the foregoing requirements invalidates service, so the custodian of records is under no duty to produce the records sought by the subpoena. (Code Civ. Proc. § 1985.3, subd. (k).)

“[I]n making an order pursuant to motion made under subdivision (c) of Section 1987 or under Section 1987.1, the court may in its discretion award the amount of the reasonable expenses incurred in making or opposing the motion, including reasonable attorney’s fees, if the court finds that the motion was made or opposed in bad faith or without substantial justification or that one or more of the requirements of the subpoena was oppressive.” (Code Civ. Proc. § 1987.2, subd. (a).)

Sanctions for misuse of the discovery process are authorized when a party uses “a discovery method in a manner that does not comply with its specified

procedures.” (Code Civ. Proc. §2023.010(b).) Additionally, “[t]he court may impose a monetary sanction ordering that one engaging in the misuse of the discovery process, or any attorney advising that conduct, or both pay the reasonable expenses, including attorney’s fees, incurred by anyone as a result of that conduct. . . . If a monetary sanction is authorized by any provision of this title, the court shall impose that sanction unless it finds that the one subject to the sanction acted with substantial justification or that other circumstances make the imposition of the sanction unjust.” (Code Civ. Proc. § 2023.030(a).)

Discussion

“A deposition subpoena that seeks ‘personal records pertaining to a consumer’ must be accompanied by proof that the consumer was served with notice of the subpoena or by the consumer’s written authorization to release his or her personal records.” (Bd. of Registered Nursing v. Superior Ct. (2021) 59 Cal.App.5th 1011, 1035.) The Court explained:

“[T]he Legislature enacted [Code of Civil Procedure] section 1985.3 ... to establish a process by which an individual would learn of subpoenas for his or her confidential records and would have the time and opportunity to litigate the propriety of that subpoena prior to the release of the private records. The statute was an outgrowth of the then recent amendment to the California Constitution that elevated the right of privacy to an inalienable right, and the California Supreme Court decision in Valley Bank of Nevada v. Superior Court (1975) 15 Cal.3d 652, in which the court held that before a bank could release confidential information to a civil litigant about a bank customer, the bank was first required to take ‘reasonable steps’ to notify the customer that the customer’s records were being sought. The statute ‘requires that consumers be informed when certain personal records have been subpoenaed, and it offers them the opportunity to challenge that subpoena before the documents sought are produced. [Code of Civil Procedure] section 1985.3 offers a consumer a ‘statutory procedural mechanism for enforcing his or her right to privacy.’”

(Board of Registered Nursing v. Superior Court (2021) 59 Cal.App.5th 1011, 1035-1036,

internal citations omitted.)

As is

clear from the discovery timeline, above, Defendants failed to comply with the regular notice and consumer notice requirements on all nine subpoenas Plaintiffs raised, and potentially a tenth subpoena that does not appear in Plaintiffs' motion because they were unaware it existed. Defendants contend that this motion is moot because they have since provided notice. The Court does not find this argument persuasive. Defendants provided notice on September 16, 2026 at 11:07 pm, forty-five minutes before filing their opposition to this motion. (9/17/26 Notice of Errata, Exhibit 2.) The fact that Plaintiff finally provided notice contemporaneously with their opposition to the motion to compel them to provide notice does not in any way excuse them from failing to provide notice as required by statute.

Next, Defendants

contend that Plaintiffs failed to meet and confer regarding this issue. Again, the Court does not find this argument persuasive. When Plaintiffs learned from various third parties that Defendants had served subpoenas without providing notice to Plaintiffs, Plaintiffs wrote Defendants at least two letters laying out the pattern of defects in Defendants' third party subpoenas. (Rognlien Decl., ¶¶ 4,12.) Plaintiffs' objections to the subpoenas and, at least in Ms. Wei-Maynez's case, a third attorney's objections all raised similar concerns about notice. (Id. at ¶ 9, Exhibit 11.) Defendants knew about this issue long before Plaintiffs brought this motion. Indeed, Plaintiffs raised the issue of improperly noticed subpoenas as early as July 23, 2026 – long before this hearing. (Rognlien Decl., ¶ 4.)

Defendants

also contend that Plaintiffs had actual notice of the subpoenas but submit no evidence to support that contention. Instead, the evidence establishes that Plaintiff only learned about some of the subpoenas when the third parties who had been subpoenaed reached out to Plaintiffs to ask about the subpoenas.

Next,

Defendants argue that this failure was a mistake or excusable error—that Defendants' attorney and paralegal believed that County Legal Services would provide notice of the subpoenas to opposing counsel and that Defendants' intended to provide consumer notice to Plaintiffs' attorneys on August 7 and mistakenly attached the wrong documents. Whether or not County Legal Services was

charged with providing service, Defendants' counsel still had a legal and ethical obligation to comply with Code Civ. Proc. § 1985's requirements. Defendants cannot shift that obligation to County Legal Services. Even if this was the result of a series of accidents, Defendants had an obligation to remedy the issues when they were raised by Plaintiffs' attorneys at any point in the past two months.

Finally,

Defendants contend that the third-party subpoenas protected Plaintiffs' privacy interests because the requests inform the producing party to omit from the production documents that would constitute consumer records. The Court does not find this argument persuasive. The obligation to protect personal information falls on the attorney involved in the litigation, not on a third party that is otherwise a stranger to this action. Additionally, Defendants cite language from subpoenas on the out-of-state renaissance fairs, who are not "witnesses" that require consumer notice. (Code Civ. Proc. § 1985.3(a).) Defendants' subpoenas to Wells Fargo, JP Morgan Chase, and Ms. Wei-Maynez, which did require consumer notice, do not include any instruction to exclude all protected information. And, while Defendants may have intended to only request the Trust's records, the subpoenas themselves define the documents requested so broadly that the requests clearly encompass Bankosh's personal banking records. (See Rognlien Decl., Exhibit 3, ¶ 8.)

In light

of this clear discovery misconduct, Plaintiffs request sanctions under § 2023.030(a) for conduct constituting a pattern of misuse of the discovery process. The Court agrees that the discovery abuse here constitutes a pattern of misconduct and that sanctions are warranted. There can be no dispute that Defendants failed to comply with the statutory requirements for third-party subpoenas. Equally bad, Defendants offer no substantial excuse for their failure to comply with their statutory and ethical responsibilities. (See American Bar Association, Model Rules of Professional Conduct Rule 4.4 ["In representing a client, a lawyer shall not . . . use methods of obtaining evidence that violate the legal rights of [a third] person."].[1]) Additionally, the Court has some concerns about veracity of Defendants' representations about what has been produced. Defendants, for example, state that no records have been received from JP Morgan Chase even though Plaintiffs received a letter from JP Morgan Chase stating that documents had been produced. (See Rognlien Decl., Exhibit 6.)

Plaintiffs

request \$7,890 in attorneys' fees and costs against Defendants and their counsel, Stone & Sallus, LLP. Plaintiffs request fees for eight hours addressing Defendants' pattern of unnoticed third-party subpoenas, three hours filing a reply brief and preparing for the hearing, and the \$60 filing fee.

Plaintiffs request fees at their attorney's rate of \$720 per hour. The Court finds that the requested hourly rate is reasonable for an attorney in the Los Angeles Area with similar experience and background. Given the number of subpoenas at issue and the extensive correspondence Plaintiffs' attorneys engaged in before filing this motion, the Court finds the time requested reasonable and awards the requested amount in full except for a one-hour reduction because no reply brief was filed.

Conclusion

Plaintiffs'

Motion is GRANTED.

Defendants

are ordered to provide Plaintiffs with a list of all third-party subpoenas served in this matter, along with the dates of service and the date of any production. The list is to be verified under oath by counsel.

Defendants

are ordered to provide Plaintiffs with all discovery received under all ten subpoenas and to provide a statement of compliance verified under oath by counsel.

Any

further evidentiary or issue sanctions on this matter are expressly reserved.

The Court

GRANTS sanctions against Defendants and their counsel, Sallus & Stone, LLP, jointly and severally, in the amount of \$7,170, payable within ten (10) days.

[1] This part of model

rule 4.4 does not have a California equivalent, but nonetheless represents the professional standard that attorneys are generally expected to meet when engaged in the practice of law.